

1.7 INTEREST

1989/AL/I/20

'Interest will not exist without money.' This statement is

- A. true because interest is the premium of present over future money.
- B. true because in the loan market, we pay interest when we borrow.
- C. false because interest is the premium of present over future consumption.
- D. false because interest is a payment for liquidity.

1993/AL/I/28

'Interest exists even without money.' This statement is

- A. true because we pay interest when we borrow.
- B. true because interest is the premium one pays for the earlier availability of goods.
- C. false because interest is a compensation for inflation.
- D. false because money is used in all societies

1998/AL/I/26

Which of the following statements about interest is true ?

- A. Interest will not exist without money.
- B. Interest is a price for the earlier availability of a good.
- C. If there is no inflation, the interest rate will be zero.
- D. (out of syllabus)

2003/AL/I/24

Which of the following statements about interest is correct?

- A. Interest is a premium received for postponing current consumption.
- B. (out of syllabus)
- C. A more patient individual is willing to pay a higher interest rate for earlier consumption.
- D. If there is deflation, interest rate must be negative.

2006/AL/I/11

Interest exists in the absence of

- A. money.
- B. risks.
- C. a banking system.
- D. All of above.

2012/DSE/I/3

Which of the following statements about interest is correct?

- A. People will reduce current consumption when the interest rate drops.
- B. The interest rate will be zero if there is no inflation.
- C. Interest does not exist in a planned economy.
- D. Interest still exists without money.

2016/DSE/I/4

Which of the following statements about interest are correct?

- (1) Interest is the compensation for deferring consumption.
 - (2) Interest exists because people are impatient to wait.
 - (3) Interest exists in a barter economy.
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- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2017/DSE/I/2

Which of the following statements about interest is correct?

- A. Without money, interest does not exist.
- B. Without inflation, interest does not exist.
- C. Without scarcity, interest does not exist.
- D. Interest is the compensation paid to the borrower for delayed consumption .

Short & Structured Questions

1992/AL/I/2

Interest is a price. Why is it a price? What is it a price of?

(12 marks)

2004/AL/I/5

'Interest would not exist without money.' Do you agree? Explain.

(8 marks)

PP/DSE/II/1

Peter borrowed a book from Mary and he promised to return the book with a bookmark to her a month later at her request.

Explain why the bookmark could be regarded as "interest" to both Peter and Mary.

(4 marks)

2025/DSE/II/4(Cross Topic4.1)

In a small village, all villagers accept rice in settling payments for exchanges.

(a) Give **TWO** reasons to explain why rice is **NOT** a good form of money compared to banknotes even if rice is generally acceptable.

(4 marks)

(b) Below is a conversation between two villagers in the above village.

Villager A: I would like to borrow your fishing rod for a month.

Villager B: Please return the fishing rod together with one bag of rice after one month.

Explain why the bag of rice can be regarded as interest to Villager B in the above situation.

(2 marks)